

**SUBSTITUTE FOR
HOUSE BILL NO. 5740**

A bill to amend 1998 PA 386, entitled
"Estates and protected individuals code,"
by amending sections 5106, 5314, and 5319 (MCL 700.5106, 700.5314,
and 700.5319), section 5106 as amended by 2017 PA 136, section 5314
as amended by 2024 PA 1, and section 5319 as added by 2012 PA 173.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 5106. (1) Subject to subsections (2) and (3), the court
2 may appoint or approve a professional guardian or professional
3 conservator, as appropriate, as a guardian or conservator under
4 this act, or as a plenary guardian or partial guardian as those
5 terms are defined in section 600 of the mental health code, 1974 PA
6 258, MCL 330.1600.

7 (2) The court shall only appoint a professional guardian or



1 professional conservator as authorized under subsection (1) if the
2 court finds on the record all of the following:

3 (a) The appointment of the professional guardian or
4 professional conservator is in the ward's, developmentally disabled
5 individual's, incapacitated individual's, or protected individual's
6 best interests.

7 (b) There is no other person that is competent, suitable, and
8 willing to serve in that fiduciary capacity in accordance with
9 section 5212, 5313, or 5409.

10 (3) The court shall not appoint a professional guardian or
11 professional conservator as authorized under subsection (1) unless
12 the professional guardian or professional conservator files a bond
13 **or places money in a restricted account** in an amount and with the
14 conditions as determined by the court. For a professional
15 conservator, the sureties and liabilities of the bond are subject
16 to sections 5410 and 5411.

17 (4) A professional guardian or professional conservator
18 appointed under this section shall not receive as a result of that
19 appointment a benefit beyond compensation specifically authorized
20 for that type of fiduciary by this act or the mental health code,
21 1974 PA 258, MCL 330.1001 to 330.2106. This subsection does not
22 prevent a person from providing compensation or other benefits,
23 from a source other than the estate of the ward, developmentally
24 disabled individual, incapacitated individual, or protected
25 individual, to a professional guardian or professional conservator
26 appointed or approved under this section. If a professional
27 guardian or professional conservator appointed or approved under
28 this section receives or is to receive compensation or other
29 benefits as a result of that appointment from a person other than



1 this state, a political subdivision of this state, or a trust
2 created under section 5407(2), the professional guardian or
3 professional conservator shall file with the appointing or
4 approving court a written statement of the compensation or other
5 benefit received or to be received, including the source of the
6 compensation or other benefit, in a form and in a manner prescribed
7 by the Michigan court rules. The professional guardian or
8 professional conservator shall serve a copy of the form described
9 in this subsection to the ward, developmentally disabled
10 individual, incapacitated individual, or protected individual and
11 to interested persons.

12 (5) A professional guardian appointed under this section shall
13 establish and maintain a schedule of visitation so that an
14 individual associated with the professional guardian who is
15 responsible for the ward's care visits the ward ~~within~~**not later**
16 **than** 3 months after the professional guardian's appointment and not
17 less than once within 3 months after each previous visit.

18 (6) A professional guardian appointed under this section shall
19 ensure that there are a sufficient number of employees assigned to
20 the care of wards for the purpose of performing the necessary
21 duties associated with ensuring that proper and appropriate care is
22 provided.

23 (7) For the purposes of the statutory authorization required
24 by section 1105(2)(e) of the banking code of 1999, 1999 PA 276, MCL
25 487.11105, to act as a fiduciary in this state, if the court
26 appoints a for-profit or nonprofit, nonbanking corporation
27 organized under the laws of this state to serve in a fiduciary
28 capacity that is listed in subsection (1), the nonbanking
29 corporation is authorized to act in that fiduciary capacity. The



1 authorization under this subsection confers the fiduciary capacity
2 only to the extent necessary in the particular matter of each
3 appointment and is not a general grant of fiduciary authority. A
4 nonbanking corporation is not authorized to act in any other
5 fiduciary capacity.

6 Sec. 5314. If meaningful communication is possible, a legally
7 incapacitated individual's guardian shall consult with the legally
8 incapacitated individual before making a major decision affecting
9 the legally incapacitated individual. To the extent a guardian of a
10 legally incapacitated individual is granted powers by the court
11 under section 5306, the guardian is responsible for the ward's
12 care, custody, and control, but is not liable to third persons
13 because of that responsibility for the ward's acts. In particular
14 and without qualifying the previous sentences, a guardian has all
15 of the following powers and duties, to the extent granted by court
16 order:

17 (a) The custody of the person of the ward and the power to
18 establish the ward's place of residence in or outside this state.
19 The guardian shall visit the ward ~~within~~**not later than** 3 months
20 after the guardian's appointment and not less than once within 3
21 months after each previous visit. The guardian shall notify the
22 court ~~within~~**not later than** 14 days ~~of~~**after** a change in the ward's
23 place of residence or a change in the guardian's place of
24 residence.

25 (b) If entitled to custody of the ward, the duty to make
26 provision for the ward's care, comfort, and maintenance and, when
27 appropriate, arrange for the ward's training and education. The
28 guardian shall secure services to restore the ward to the best
29 possible state of mental and physical well-being so that the ward



1 can return to self-management at the earliest possible time.
2 Without regard to custodial rights of the ward's person, the
3 guardian shall take reasonable care of the ward's clothing,
4 furniture, vehicles, and other personal effects and commence a
5 protective proceeding if the ward's other property needs
6 protection. If a guardian commences a protective proceeding because
7 the guardian believes that it is in the ward's best interest to
8 sell or otherwise dispose of the ward's real property or interest
9 in real property, the court may appoint the guardian as special
10 conservator and authorize the special conservator to proceed under
11 section 5423(3). A guardian shall not otherwise sell the ward's
12 real property or interest in real property.

13 (c) The power to give the consent or approval that is
14 necessary to enable the ward to receive medical, mental health, or
15 other professional care, counsel, treatment, or service. However, a
16 guardian does not have and shall not exercise the power to give the
17 consent to or approval for inpatient hospitalization unless the
18 court expressly grants the power in its order. If the ward objects
19 or actively refuses mental health treatment, the guardian or any
20 other interested person must follow the procedures provided in
21 chapter 4 of the mental health code, 1974 PA 258, MCL 330.1400 to
22 330.1490, to petition the court for an order to provide involuntary
23 mental health treatment. The power of a guardian to execute a do-
24 not-resuscitate order under subdivision (d), execute a nonopioid
25 directive form under subdivision (f), or execute a physician orders
26 for scope of treatment form under subdivision (g) does not affect
27 or limit the power of a guardian to consent to a physician's order
28 to withhold resuscitative measures in a hospital. As used in this
29 subdivision, "involuntary mental health treatment" means that term



1 as defined in section 400 of the mental health code, 1974 PA 258,
2 MCL 330.1400.

3 (d) The power to execute, reaffirm, and revoke a do-not-
4 resuscitate order on behalf of a ward. However, a guardian shall
5 not execute a do-not-resuscitate order unless the guardian does all
6 of the following:

7 (i) Not more than 14 days before executing the do-not-
8 resuscitate order, visits the ward and, if meaningful communication
9 is possible, consults with the ward about executing the do-not-
10 resuscitate order.

11 (ii) Consults directly with the ward's attending physician as
12 to the specific medical indications that warrant the do-not-
13 resuscitate order.

14 (e) If a guardian executes a do-not-resuscitate order under
15 subdivision (d), not less than annually after the do-not-
16 resuscitate order is first executed, the duty to do all of the
17 following:

18 (i) Visit the ward and, if meaningful communication is
19 possible, consult with the ward about reaffirming the do-not-
20 resuscitate order.

21 (ii) Consult directly with the ward's attending physician as to
22 specific medical indications that may warrant reaffirming the do-
23 not-resuscitate order.

24 (f) The power to execute, reaffirm, and revoke a nonopioid
25 directive form on behalf of a ward.

26 (g) The power to execute, reaffirm, and revoke a physician
27 orders for scope of treatment form on behalf of a ward. However, a
28 guardian shall not execute a physician orders for scope of
29 treatment form unless the guardian does all of the following:



(i) Not more than 14 days before executing the physician orders for scope of treatment form, visits the ward and, if meaningful communication is possible, consults with the ward about executing the physician orders for scope of treatment form.

(ii) Consults directly with the ward's attending physician as to the specific medical indications that warrant the physician orders for scope of treatment form.

(h) If a guardian executes a physician orders for scope of treatment form under subdivision (g), not less than annually after the physician orders for scope of treatment form is first executed, the duty to do all of the following:

(i) Visit the ward and, if meaningful communication is possible, consult with the ward about reaffirming the physician orders for scope of treatment form.

(ii) Consult directly with the ward's attending physician as to specific medical indications that may warrant reaffirming the physician orders for scope of treatment form.

(i) If a conservator for the ward's estate is not appointed, the power to do any of the following:

(i) Institute a proceeding to compel a person under a duty to support the ward or to pay money for the ward's welfare to perform that duty.

(ii) ~~Receive~~ **Subject to subdivision (k), receive** money and tangible property deliverable to the ward **up to a value of \$25,000.00** and apply the money and property for the ward's support, care, and education. The guardian shall not use money from the ward's estate for room and board that the guardian or the guardian's spouse, parent, or child have furnished the ward unless a charge for the service is approved by court order made on notice



1 to at least 1 of the ward's next of kin, if notice is possible. The
2 guardian shall exercise care to conserve any excess for the ward's
3 needs.

4 (j) The duty to report the condition of the ward and the
5 ward's estate that is subject to the guardian's possession or
6 control, as required by the court, but not less often than
7 annually. The guardian shall also serve the report required under
8 this subdivision on the ward and interested persons as specified in
9 the Michigan court rules. A report under this subdivision must
10 contain all of the following:

11 (i) The ward's current mental, physical, and social condition.

12 (ii) Improvement or deterioration in the ward's mental,
13 physical, and social condition that occurred during the past year.

14 (iii) The ward's present living arrangement and changes in the
15 ward's living arrangement that occurred during the past year.

16 (iv) Whether the guardian recommends a more suitable living
17 arrangement for the ward.

18 (v) Medical treatment, including mental health treatment,
19 received by the ward.

20 (vi) Whether the guardian has executed, reaffirmed, or revoked
21 a do-not-resuscitate order on behalf of the ward during the past
22 year.

23 (vii) Whether the guardian has executed, reaffirmed, or revoked
24 a nonopioid directive form on behalf of the ward during the past
25 year.

26 (viii) Whether the guardian has executed, reaffirmed, or revoked
27 a physician orders for scope of treatment form on behalf of the
28 ward during the past year.

29 (ix) Services received by the ward.



(x) A list of the guardian's visits with, and activities on behalf of, the ward.

(xi) A recommendation as to the need for continued guardianship.

(xii) If a standby guardian has been designated, a statement signed by the standby guardian that the standby guardian continues to be willing to serve in the event of the unavailability, death, incapacity, or resignation of the guardian.

(k) If a guardian accumulates or discovers property of the ward that has a greater value than \$25,000.00, the guardian has a duty to give notice to the court not later than 14 days after discovery by filing a protective order, petition for conservatorship, or petition for instructions. The guardian may receive statements and information pertaining to the newly discovered property, but must not have access to the excess property until ordered by the court.

(l) ~~(k)~~—If a conservator is appointed, the duty to pay to the conservator, for management as provided in this act, the amount of the ward's estate received by the guardian in excess of the amount the guardian expends for the ward's current support, care, and education. The guardian shall account to the conservator for the amount expended.

Sec. 5319. (1) If the court determines that financial protection is required for the ward, the court ~~may~~**shall** order the guardian to petition for the appointment of a conservator or for another protective order under part 4 of this article in relation to the ward's estate.

(2) If a conservator has not been appointed for a ward's estate and the guardian ~~determines that there is more cash~~



1 **accumulates or discovers property that has a greater value than**
2 **\$25,000.00** or **other** property that is readily convertible into cash
3 in the ward's estate, ~~than was estimated by the guardian ad litem~~
4 ~~and reported to the court,~~ the guardian shall report the amount of
5 the additional cash or property to the court **not later than 14 days**
6 **after discovery.**

7 Enacting section 1. This amendatory act does not take effect
8 unless House Bill No. 5739 of the 103rd Legislature is enacted into
9 law.